

Trade Tariffs and Exchange Rates in a Multilateral World

Theoretical derivations

Jason Lu

Dimitre Milkov

September 6, 2026

1 Introduction

In a two-country model, an import tariff appreciates the tariffing country's currency under the Marshall–Lerner condition. With more than two countries, a tariff on one trading partner also reallocates expenditure across foreign suppliers, so bilateral exchange rates need not all move in the same direction.

These notes characterize the exchange-rate effects of tariffs in an N -country model. The general log-linearized equilibrium response is $(-J)^{-1}F$, where F gives the trade-balance effects of a tariff at unchanged exchange rates and J is the Jacobian of trade balances with respect to exchange rates. Under a multilateral Marshall–Lerner (MML) condition on J , this representation separates the trade-balance effects of the tariff from the exchange-rate adjustment required to restore equilibrium.

Under symmetry, the response to any tariff vector further separates into an average tariff component and a relative tariff component. The average tariff determines the tariffing country's nominal effective exchange rate (NEER), while tariff differentials determine the dispersion of bilateral exchange-rate responses around it. For a unilateral tariff, the tariffing country always appreciates against the targeted partner and its NEER always appreciates, but its exchange rate against an untariffed bystander can move in either direction. A bystander depreciation of the tariffing country's currency occurs only when substitution across foreign import origins is sufficiently strong relative to the other trade-balance effects of the tariff (Section 5.2). Proofs are collected in Appendix E.

2 N -Country Model and Equilibrium

2.1 Production and preferences

Countries are indexed by $i, j \in \{1, \dots, N\}$. Where useful, we use A for the tariffing country, B for the tariff target, and C for an untariffed bystander. Each country produces a country-specific tradable and a non-tradable from labor:

$$Y_{T_i} = A_{T_i} L_{T_i}, \quad Y_{N_i} = A_{N_i} L_{N_i}, \quad L_{T_i} + L_{N_i} = L_i,$$

with perfect competition and the producer-price normalization $P_{T_i} = 1$ in i 's currency, so

$$w_i = A_{T_i}, \quad P_{N_i} = A_{T_i}/A_{N_i}.$$

Wages are constant in own currency, so relative adjustment occurs through exchange rates.

Preferences are nested CES:

$$\begin{aligned} C_i &= C_{T_i}^{\alpha_T} C_{N_i}^{1-\alpha_T} && \text{(tradable share } \alpha_T), \\ C_{T_i} &= \left[\alpha_D^{1/\eta} C_{T_i i}^{\frac{\eta-1}{\eta}} + (1-\alpha_D)^{1/\eta} M_i^{\frac{\eta-1}{\eta}} \right]^{\frac{\eta}{\eta-1}} && \text{(home weight } \alpha_D, \text{ elasticity } \eta), \\ M_i &= \left[\sum_{j \neq i} \beta_{ij}^{1/\rho} C_{T_j i}^{\frac{\rho-1}{\rho}} \right]^{\frac{\rho}{\rho-1}} && \text{(origin weights } \beta_{ij}, \text{ elasticity } \rho). \end{aligned}$$

The elasticity η governs substitution between domestic and imported tradables, while ρ governs substitution across foreign origins conditional on importing. The latter margin is inactive at $N = 2$ and active at $N \geq 3$.

The *symmetric benchmark* imposes $\beta_{ij} = 1/(N-1)$, common parameters $(\alpha_T, \alpha_D, \eta, \rho)$, and equal endowments and productivities. Home bias remains through α_D . Full symmetry between domestic and foreign tradables would additionally require $\rho = \eta$ and $\alpha_D = 1/N$, which we do not impose.

2.2 Tariffs, prices, income, and trade balance

Tariffs $\tau_{ij} \geq 0$ are ad valorem and are levied by i on imports from j , with $\tau_{ii} = 0$. Consumer prices in i 's currency are $p_{ij} = (1 + \tau_{ij})e_{ij}$ and $p_{ii} = 1$, where the latter follows from the normalization of the domestic tradable price. The corresponding price indices are

$$P_{M_i} = \left[\sum_{j \neq i} \beta_{ij} p_{ij}^{1-\rho} \right]^{\frac{1}{1-\rho}}, \quad P_{T_i} = \left[\alpha_D p_{ii}^{1-\eta} + (1-\alpha_D) P_{M_i}^{1-\eta} \right]^{\frac{1}{1-\eta}}, \quad P_i = \kappa_i P_{T_i}^{\alpha_T} P_{N_i}^{1-\alpha_T}. \quad (1)$$

Expenditure shares of income are

$$s_{ii} = \alpha_T \alpha_D \left(\frac{p_{ii}}{P_{T_i}} \right)^{1-\eta}, \quad s_{ij} = \alpha_T (1-\alpha_D) \left(\frac{P_{M_i}}{P_{T_i}} \right)^{1-\eta} \beta_{ij} \left(\frac{p_{ij}}{P_{M_i}} \right)^{1-\rho}, \quad j \neq i, \quad (2)$$

so $s_{ij}I_i$ is tariff-inclusive expenditure at consumer prices and $s_{ij}I_i/(1 + \tau_{ij})$ is the tariff-exclusive border value. Tariff revenue is rebated lump-sum:

$$I_i = w_i L_i + \sum_{j \neq i} \frac{\tau_{ij}}{1 + \tau_{ij}} s_{ij} I_i \implies I_i = \frac{w_i L_i}{1 - \sum_{j \neq i} \frac{\tau_{ij}}{1 + \tau_{ij}} s_{ij}}. \quad (3)$$

Equation (3) determines income in i 's own currency. To aggregate bilateral flows across countries, take A 's currency as the numeraire and define common-currency income as $\tilde{I}_i \equiv e_{Ai} I_i$. Expenditure shares are unchanged by this conversion. Since tariff revenue is a domestic transfer, trade

balances are valued at tariff-exclusive border prices in the common currency:

$$\text{TB}_i = \sum_{k \neq i} f_{ki} - \sum_{j \neq i} f_{ij}, \quad f_{ij} \equiv \frac{s_{ij} \tilde{I}_i}{1 + \tau_{ij}}, \quad (4)$$

where f_{ij} is the border value, in A 's currency, of i 's imports from j .

By Walras' law, only $N - 1$ trade-balance conditions are independent. We assume no internationally traded assets, so $\text{TB}_i = 0$ for all i . Given $\{\tau_{ij}\}$, the $N - 1$ independent exchange rates therefore solve $\text{TB}_i = 0$ for $i \neq A$.

2.3 Exchange-rate concepts

Define e_{ij} as units of i 's currency per unit of j 's, with $e_{ii} = 1$ and $e_{ij} = e_{ik}e_{kj}$. A rise in e_{ij} is therefore a depreciation of i against j . Log changes in bilateral exchange rates relative to A are denoted by $\nu_j \equiv d \log e_{Aj}$, with $\nu_A = 0$.

Relative wages, terms of trade, and real exchange rates are

$$\omega_{ij} \equiv \frac{e_{ij} w_j}{w_i}, \quad \text{ToT}_{ij} \equiv \frac{P_{T_i}}{e_{ij} P_{T_j}} = \frac{1}{e_{ij}}, \quad q_{ij} \equiv \frac{e_{ij} P_j}{P_i}. \quad (5)$$

Nominal and real effective exchange-rate changes are

$$d\nu_i^E \equiv \sum_{j \neq i} w_{ij} d \log e_{ij}, \quad dq_i^E \equiv \sum_{j \neq i} w_{ij} d \log q_{ij}, \quad w_{ij} = \frac{f_{ij} + f_{ji}}{\sum_{k \neq i} (f_{ik} + f_{ki})}, \quad (6)$$

with $w_{ij} = 1/(N - 1)$ at the symmetric benchmark. Under the normalization of domestic tradable producer prices,

$$d \log e_{ij} = d \log \omega_{ij} = -d \log \text{ToT}_{ij}, \quad (7)$$

so the nominal exchange-rate results can equivalently be expressed in terms of relative wages or terms of trade.

3 Two Countries

The general linearization for N countries is given in Section 5.1; here we need only its $N = 2$ case. Write $m \equiv \alpha_T(1 - \alpha_D)$ for the import share of income, so that $s_{AB} = s_{BA} = m$ at the balanced free-trade baseline with normalized incomes, and let $\nu_B \equiv d \log e_{AB}$. Suppose A imposes $d\tau = dt_{AB}$. Each country has a single import origin, so $dp_{AB} = d \log P_{M_A} = \nu_B + d\tau$ and $dp_{BA} = d \log P_{M_B} = -\nu_B$, and the cross-origin margin in (2) is inactive. Log-differentiating (2) and (3), with incomes in the common currency,

$$\begin{aligned} d \log s_{AB} &= (1 - \eta) \alpha_D (\nu_B + d\tau), & d \log s_{BA} &= -(1 - \eta) \alpha_D \nu_B, \\ d \log \tilde{I}_A &= m d\tau, & d \log \tilde{I}_B &= \nu_B. \end{aligned}$$

Substituting into (4) and using that the tariff wedge lowers the border value of A 's imports by $d\tau$,

$$dTB_A = m \left[(1 + 2\alpha_D(\eta - 1))\nu_B + (1 - m + \alpha_D(\eta - 1))d\tau \right].$$

Define

$$\rho_1^* \equiv 1 + \alpha_D(\eta - 1) - \alpha_T(1 - \alpha_D) = \alpha_D \eta + (1 - \alpha_D)(1 - \alpha_T) > 0. \quad (8)$$

The equilibrium condition can then be written as

$$dTB_A = \underbrace{m D_2 \nu_B}_{\text{exchange-rate effect}} + \underbrace{m \rho_1^* d\tau}_{\text{tariff effect at fixed exchange rates}} = 0, \quad D_2 \equiv 2\alpha_D(\eta - 1) + 1, \quad (9)$$

and therefore

$$\left. \frac{d \log e_{AB}}{d\tau} \right|_{\tau=0} = - \frac{\rho_1^*}{D_2} \quad (10)$$

The coefficient ρ_1^* summarizes the trade-balance effect of the tariff at unchanged exchange rates. It reflects substitution between domestic and imported goods, governed by η , together with the associated income and expenditure effects. The elasticity ρ , which governs substitution across foreign import origins, is inactive with only two countries. It becomes relevant for $N \geq 3$, when a tariff on one partner can redirect import demand toward other foreign suppliers.

In reduced form, let export volume be $X(1/e)$ and import volume be $M((1 + \tau)e)$, with elasticities ε_X and ε_M . Balanced trade gives $\partial TB_A / \partial e = M(\varepsilon_X + \varepsilon_M - 1)$. Comparing this expression with (9) per unit of import value gives

$$\varepsilon_X + \varepsilon_M - 1 = D_2, \quad \varepsilon_X = \varepsilon_M = \alpha_D(\eta - 1) + 1.$$

Proposition 3.1 (Conventional wisdom, $N = 2$). *At $N = 2$, an appreciation restores trade balance after a tariff if and only if the textbook Marshall–Lerner condition $\varepsilon_X + \varepsilon_M > 1$ holds. In our nested-CES model this condition is $D_2 > 0$, which holds whenever $\eta \geq 1$, and the bilateral exchange-rate response is $d \log e_{AB} / d\tau = -\rho_1^* / D_2 < 0$.*

Appendix A gives the exact finite-tariff Cobb–Douglas solution.

4 From Two to N Countries: General Exchange-Rate Adjustments

The following results require only that trade balances are differentiable with respect to exchange rates and tariffs, and do not depend on our specific nested-CES model structure.

4.1 The local disturbance–adjustment representation

Consider any differentiable multilateral trade environment with $N - 1$ independent trade-balance conditions, $TB_i = 0$ for $i \neq A$, which are each functions of exchange rates and tariffs. Stack the

exchange-rate changes as $\nu \equiv (\nu_j)_{j \neq A}$ and the bilateral tariff changes as $t \equiv (t_{jk})_{j \neq k}$ with $t_{jk} \equiv dt_{jk}$, so that ν and t are the perturbation vectors of the levels e_{Aj} and τ_{jk} . The conditions for $i \neq A$ are

$$J\nu + Gt = 0, \quad J_{il} \equiv \frac{\partial dTB_i}{\partial \nu_l}, \quad G_{i,(jk)} \equiv \frac{\partial dTB_i}{\partial t_{jk}} \Big|_{\nu \text{ fixed}}. \quad (11)$$

A tariff experiment fixes a direction a and a scalar size $d\tau$, $t = a d\tau$. Defining $F \equiv Ga$, the equilibrium conditions become

$$J\nu = -F d\tau, \quad \nu = (-J)^{-1} F d\tau. \quad (12)$$

F gives the trade-balance effects of the tariff at unchanged exchange rates, including substitution and income effects, while J describes how trade balances respond to exchange-rate changes. At $N = 2$, $J = -mD_2$ and $F = m\rho_1^*$ in (9).

4.2 The multilateral Marshall–Lerner condition

At $N = 2$, the requirement that exchange-rate adjustment stabilizes the trade balance is the scalar condition $D_2 > 0$ of Section 3, i.e. $-J = mD_2 > 0$. The N -country generalization requires that the adjustment mapping $(-J)^{-1}$ be well defined and positive.

Definition 4.1 (Multilateral Marshall–Lerner condition). *The adjustment mechanism satisfies the multilateral Marshall–Lerner condition (MML) if*

$$-J \text{ is a nonsingular } M\text{-matrix:} \quad J_{il} \geq 0 \quad (l \neq i) \quad \text{and} \quad (-J)^{-1} \text{ exists with } (-J)^{-1} \geq 0. \quad (13)$$

By (12), under MML, each exchange-rate response is a nonnegative-weighted combination of the trade-balance effects at fixed exchange rates. A uniformly signed F therefore cannot generate exchange-rate responses of the opposite sign. When F has mixed signs, the response of any individual exchange rate depends on the full vector of trade-balance effects rather than on the corresponding element F_i alone. The condition also implies $\det(-J) > 0$, which is used in the threshold calculations below.¹ At $N = 2$, the system is scalar and the condition reduces to $D_2 > 0$, which Section 3 showed to be the textbook elasticity condition.

The condition above is stated directly on J , but it can alternatively be obtained from a restriction on the full bilateral Jacobian. Let $\tilde{J}$ be the full $N \times N$ Jacobian, so that J is $\tilde{J}$ with row and column A deleted. Two identities hold for $\tilde{J}$. Each trade balance is homogeneous of degree one in currency values, so by Euler's theorem row i sums to TB_i , which is zero at a balanced baseline; and Walras' law, $\sum_i TB_i \equiv 0$, ensures that the columns sum to zero. Thus

$$\sum_l \tilde{J}_{il} = 0 \quad \forall i, \quad \sum_i \tilde{J}_{il} = 0 \quad \forall l. \quad (14)$$

¹Given the Z-matrix sign pattern, the condition is further equivalent to $\text{Re } \lambda(J) < 0$, i.e., to local stability of the tatonnement $\dot{\nu}_i = k_i TB_i$ for any $k_i > 0$, so simple dynamic exchange-rate adjustment processes converge to the equilibrium.

The row identity pins down each diagonal entry of $\tilde{J}$ from its off-diagonal entries, so a sign restriction on the off-diagonal entries alone determines the own effects and, after deleting A , the dominance of J . This gives a sufficient condition for MML.

Assumption 1 (Gross substitutability). $\tilde{J}_{il} \geq 0$ for all $l \neq i$.

An appreciation of currency l raises the price of l 's goods, and Assumption 1 says that this improves every other country's trade balance: tradables are gross substitutes across countries. With the row identity in (14), $\tilde{J}_{ii} = -\sum_{l \neq i} \tilde{J}_{il} \leq 0$, and deleting row and column A gives

$$|J_{ii}| - \sum_{l \neq i, A} J_{il} = \tilde{J}_{iA} \geq 0, \quad (15)$$

so J is diagonally dominant, strictly in every row with $\tilde{J}_{iA} > 0$.

Proposition 4.2 (Sufficiency of gross substitutability). *Under Assumption 1, with J irreducible and $\tilde{J}_{iA} > 0$ for some i , MML (13) holds.*

Corollary 4.3 (Sign rule). *Under (13),*

$$\text{sign}\left(\frac{d\nu_i}{d\tau}\right) = \text{sign}\left(\sum_j \vartheta_{ij} F_j\right), \quad \vartheta_{ij} \equiv [(-J)^{-1}]_{ij} \geq 0.$$

Here ϑ_{ij} measures the response of currency i to a unit trade-balance disturbance in country j . Under MML these weights are nonnegative, so the sign of each bilateral exchange-rate response is determined by the full vector of trade-balance effects at fixed exchange rates and the way those effects are transmitted through the exchange-rate system.

4.3 Symmetric partners

Restrict attention to tariffs imposed by A , $t = (t_j)_{j \neq A}$ with $t_j \equiv t_{Aj}$, so that G in (11) is $(N-1) \times (N-1)$. Suppose that A 's trading partners are symmetric: relabeling them leaves the reduced system unchanged, $PJP' = J$ and $PGP' = G$ for every permutation matrix P of the $N-1$ partners. This holds when the partners have identical sizes, trade weights, and parameters at the baseline; A itself need not be symmetric with them. Take $N \geq 3$.

Under partner symmetry, the tariff vector can affect exchange rates through only two components: the average tariff across partners and differences in tariffs across partners. Decompose

$$t = \bar{t} \mathbf{1} + \tilde{t}, \quad \bar{t} \equiv \frac{1}{N-1} \mathbf{1}' t, \quad \mathbf{1}' \tilde{t} = 0. \quad (16)$$

We refer to $\bar{t} \mathbf{1}$ as the *average tariff component* and to $\tilde{t}$ as the *relative tariff component*. The latter records each partner's tariff relative to the average tariff imposed by A .

To see why this decomposition is useful, note that any matrix invariant to relabeling the partners has the form $aI + b \mathbf{1} \mathbf{1}'$. With $\mathbf{1}' \mathbf{1} = N-1$ and $\mathbf{1}' \tilde{t} = 0$,

$$(aI + b \mathbf{1} \mathbf{1}') t = (a + (N-1)b) \bar{t} \mathbf{1} + a \tilde{t}.$$

The matrix therefore acts separately on the average and relative tariff components. The corresponding eigenvalues are $a + (N - 1)b$ and a . Since the relative tariff component sums to zero, it also has no effect on the equally weighted average of the bilateral exchange rates.

Lemma 4.4 (Symmetric partners). *If the partners are symmetric, $-J$ and G take the form*

$$\begin{aligned} -J &= a_J I + b_J \mathbf{1}\mathbf{1}' : & j_S &\equiv a_J + (N - 1)b_J, & j_D &\equiv a_J, \\ G &= a_G I + b_G \mathbf{1}\mathbf{1}' : & g_S &\equiv a_G + (N - 1)b_G, & g_D &\equiv a_G. \end{aligned} \tag{17}$$

If $j_S, j_D \neq 0$, the response to any tariff vector is

$$\nu = \lambda_S \bar{t} \mathbf{1} + \lambda_D \tilde{t}, \quad d\nu_A^E = \lambda_S \bar{t}, \quad \nu_j - d\nu_A^E = \lambda_D \tilde{t}_j, \quad \lambda_S \equiv \frac{g_S}{j_S}, \quad \lambda_D \equiv \frac{g_D}{j_D},$$

with effective-rate weights $w_{Aj} = 1/(N - 1)$ implied by symmetry. MML (13) holds if and only if

$$j_S > 0 \quad \text{and} \quad j_D \geq j_S. \tag{18}$$

Lemma 4.4 separates the exchange-rate response into an average component and a relative component. The average tariff $\bar{t}$ determines the common movement in A 's bilateral exchange rates and hence its effective exchange rate. The relative tariff $\tilde{t}_j$ determines how the bilateral rate against partner j differs from that common movement. Section 5 computes these responses for the nested-CES model.

5 Tariff Responses at the Symmetric Benchmark

We now specialize the general results of Section 4 to the symmetric nested-CES model. This yields closed-form responses to an arbitrary vector of tariffs imposed by A . We then consider a unilateral tariff, tariffs on multiple partners, and the three-country case.

5.1 The linearized system

At the balanced free-trade baseline, let $m \equiv \alpha_T(1 - \alpha_D)$, $b_{ij} \equiv \beta_{ij}$, and $f_{ij} = s_{ij}\tilde{I}_i$, with $\sum_k f_{ki} = \sum_j f_{ij}$. All incomes and flows are measured in the common currency. Linearizing the demand,

income, and trade-balance equations gives

$$dp_{ij} = \nu_j - \nu_i + dt_{ij} \quad (dp_{ii} = 0), \quad (19)$$

$$d \log P_{M_i} = \sum_{j \neq i} b_{ij} dp_{ij}, \quad d \log P_{T_i} = (1 - \alpha_D) d \log P_{M_i}, \quad (20)$$

$$d \log s_{ii} = -(1 - \eta)(1 - \alpha_D) d \log P_{M_i}, \quad (21)$$

$$d \log s_{ij} = (1 - \rho)(dp_{ij} - d \log P_{M_i}) + (1 - \eta)\alpha_D d \log P_{M_i}, \quad (22)$$

$$d \log \tilde{I}_i = \nu_i + \sum_{j \neq i} s_{ij} dt_{ij}, \quad (23)$$

$$d \text{TB}_i = \sum_{k \neq i} f_{ki} (d \log s_{ki} + d \log \tilde{I}_k - dt_{ki}) - \sum_{j \neq i} f_{ij} (d \log s_{ij} + d \log \tilde{I}_i - dt_{ij}). \quad (24)$$

These equations determine the model-specific matrices J and G in (11). At $N = 2$ they reduce to the calculation in Section 3.

At the symmetric baseline, every off-diagonal element of the full $N \times N$ exchange-rate Jacobian is

$$\tilde{J}_{il} = \frac{m}{(N-1)^2} D_N \quad (l \neq i), \quad D_N \equiv N\alpha_D(\eta - 1) + (N-2)\rho + 1. \quad (25)$$

Lemma E.1 in Appendix E gives the derivation. MML holds if and only if $D_N > 0$. In particular,

$$\eta \geq 1 \implies D_N > 0 \iff \text{MML (13) under symmetry.}$$

Thus D_N is the N -country counterpart of the two-country adjustment coefficient $D_2 = \varepsilon_X + \varepsilon_M - 1$.

5.2 Exchange-rate response to a tariff vector

Consider a vector $t = (t_j)_{j \neq A}$ of tariffs imposed by A , decomposed as in (16) into its average $\bar{t}$ and relative component $\tilde{t}$.

At unchanged exchange rates, the effect on partner i 's trade balance follows from (24). Since only i 's exports to A are directly affected,

$$d \text{TB}_i|_{\nu \text{ fixed}} = f_{Ai} (d \log s_{Ai} + d \log \tilde{I}_A - t_i) = \frac{m}{N-1} \left[-\rho_1^* \bar{t} - \rho (t_i - \bar{t}) \right]. \quad (26)$$

The corresponding tariff-effect coefficients are

$$g_S = -\frac{m\rho_1^*}{N-1}, \quad g_D = -\frac{m\rho}{N-1}. \quad (27)$$

Deleting row and column A from the full Jacobian gives the exchange-rate adjustment coefficients,

$$-J = c(NI - \mathbf{1}\mathbf{1}'), \quad c \equiv \frac{mD_N}{(N-1)^2}, \quad j_S = c, \quad j_D = Nc. \quad (28)$$

Combining (27) and (28),

$$\lambda_S = \frac{g_S}{j_S} = -\frac{(N-1)\rho_1^*}{D_N}, \quad \lambda_D = \frac{g_D}{j_D} = -\frac{(N-1)\rho}{ND_N}. \quad (29)$$

Theorem 5.1 (Exchange-rate response to a tariff vector). *At the symmetric benchmark with $N \geq 3$ and $D_N > 0$, the response to any vector of tariffs imposed by A is*

$$\nu_j = \lambda_S \bar{t} + \lambda_D \tilde{t}_j, \quad d\nu_A^E = \lambda_S \bar{t}, \quad \nu_j - d\nu_A^E = \lambda_D \tilde{t}_j, \quad (30)$$

where λ_S and λ_D are given in (29). For any two partners $j, k \neq A$,

$$d \log e_{jk} = \lambda_D (t_k - t_j).$$

The average tariff determines the effective exchange-rate response, while tariff differentials determine deviations of bilateral rates from that common response. In particular, relative tariff changes that leave $\bar{t}$ unchanged do not affect A 's effective exchange rate.

5.3 Application: a unilateral tariff

Suppose A raises its tariff on B alone, so that $t = d\tau \mathbf{e}_B$. Then

$$\bar{t} = \frac{d\tau}{N-1}, \quad \tilde{t}_B = \frac{N-2}{N-1}d\tau, \quad \tilde{t}_C = -\frac{d\tau}{N-1} \quad \text{for each bystander } C.$$

Substituting into Theorem 5.1 gives

$$\frac{d \log e_{AB}}{d\tau} = -\frac{N\rho_1^* + (N-2)\rho}{ND_N} < 0, \quad \frac{d \log e_{AC}}{d\tau} = \frac{\rho - N\rho_1^*}{ND_N}, \quad (31)$$

and

$$\frac{d \log e_{BC}}{d\tau} = \frac{(N-1)\rho}{ND_N} > 0.$$

Corollary 5.2 (Bilateral ambiguity). *For $t = d\tau \mathbf{e}_B$ under $D_N > 0$, A appreciates against the target B , while it depreciates against a bystander C if and only if*

$$\boxed{\rho > \rho_N^* \equiv N\rho_1^*}.$$

The effective exchange rate has an unambiguous response:

$$\frac{d\nu_A^E}{d\tau} = \frac{\nu_B + (N-2)\nu_C}{N-1} = -\frac{\rho_1^*}{D_N} < 0. \quad (32)$$

Corollary 5.3 (Effective exchange rate). *For $t = d\tau \mathbf{e}_B$ under $D_N > 0$, A 's effective exchange rate appreciates for every $N \geq 2$ and every admissible ρ .*

The bilateral reversal threshold differs from the condition under which the bystander's trade balance improves at unchanged exchange rates. From (26),

$$F_B = -\frac{m[\rho_1^* + (N-2)\rho]}{(N-1)^2} < 0, \quad F_C = \frac{m(\rho - \rho_1^*)}{(N-1)^2}. \quad (33)$$

Thus $F_C > 0$ when $\rho > \rho_1^*$, whereas the bilateral exchange rate reverses only when $\rho > N\rho_1^*$.

The difference comes from equilibrium exchange-rate adjustment. Under symmetry, (28) implies $j_D = Nj_S$: a given relative exchange-rate movement has N times the trade-balance effect of a common movement. Equivalently, a given relative trade-balance disturbance requires only $1/N$ as much exchange-rate adjustment. The factor N in the bilateral reversal threshold therefore comes from the exchange-rate adjustment matrix rather than from the initial trade-balance effect of the tariff.²

A useful restriction follows when the two substitution elasticities coincide.

Corollary 5.4 (Single elasticity). *If $\rho = \eta = \sigma$ and $\alpha_D \geq 1/N$, then*

$$\rho_N^* - \sigma = \sigma(N\alpha_D - 1) + N(1 - \alpha_D)(1 - \alpha_T) \geq 0,$$

so the bystander reversal is impossible. Without imposing $\rho = \eta$, the same restriction gives

$$N\rho_1^* - \eta = \eta(N\alpha_D - 1) + N(1 - \alpha_D)(1 - \alpha_T) \geq 0,$$

so $\rho > \eta$ is necessary, but not sufficient, for a bystander reversal.

Equality in the first expression requires $\alpha_D = 1/N$ and $\alpha_T = 1$. At $\alpha_D = 1/N$ with $\rho = \eta = \sigma$,

$$\frac{d \log e_{AC}}{d\tau} = -\frac{1 - \alpha_T}{N\sigma},$$

which approaches zero from below as $\alpha_T \rightarrow 1$. Appendix B gives the corresponding real exchange-rate results.

5.4 Application: multiple targets

Theorem 5.1 also orders bilateral responses directly by tariff treatment.

Corollary 5.5 (Relative tariff treatment). *Under the conditions of Theorem 5.1, with $\bar{t} > 0$, $t_j > t_k$ implies $\nu_j < \nu_k$. Moreover, A depreciates against partner j if and only if*

$$\frac{\rho}{N}(\bar{t} - t_j) > \rho_1^* \bar{t} \quad \Longleftrightarrow \quad \frac{t_j}{\bar{t}} < 1 - \frac{N\rho_1^*}{\rho}.$$

Thus A appreciates more against partners facing higher tariffs. Depreciation against a relatively lightly taxed partner requires both $\rho > N\rho_1^*$ and a sufficiently large tariff differential.

²The exact factor N is specific to the symmetric nested-CES benchmark. Appendix C considers asymmetric baselines.

If A raises its tariff by τ on a set of k partners, the same decomposition gives:

Corollary 5.6 (Number of targets). *If A raises its tariff by τ on k partners, $1 \leq k \leq N - 1$, then for every untargeted partner C and every targeted partner B ,*

$$\frac{d \log e_{AC}}{\tau} = \frac{k(\rho - N\rho_1^*)}{ND_N}, \quad \frac{d \log e_{AB}}{\tau} = -\frac{k\rho_1^*}{D_N} - \frac{(N - 1 - k)\rho}{ND_N}, \quad \frac{d\nu_A^E}{\tau} = -\frac{k\rho_1^*}{D_N}. \quad (34)$$

For every $k \leq N - 2$, the bystander response has the same threshold $\rho > N\rho_1^*$.

When all partners face the same tariff,

$$\frac{d \log e_{Aj}}{d\tau} = -\frac{(N - 1)\rho_1^*}{D_N} = \frac{d\nu_A^E}{d\tau} \quad \forall j. \quad (35)$$

All bilateral rates then move together, and substitution across foreign origins plays no role.

5.5 The three-country case

For $N = 3$, the unilateral-tariff system can be written explicitly as

$$J = -\frac{mD_3}{4} \begin{pmatrix} 2 & -1 \\ -1 & 2 \end{pmatrix}, \quad F = -\frac{m}{4} \begin{pmatrix} \rho + \rho_1^* \\ \rho_1^* - \rho \end{pmatrix}, \quad D_3 = 3\alpha_D(\eta - 1) + \rho + 1. \quad (36)$$

Hence

$$\begin{pmatrix} \nu_B \\ \nu_C \end{pmatrix} = (-J)^{-1} F d\tau = \frac{1}{3D_3} \begin{pmatrix} -(\rho + 3\rho_1^*) \\ \rho - 3\rho_1^* \end{pmatrix} d\tau.$$

Proposition 5.7 (Three-country threshold). *With $D_3 > 0$,*

$$\frac{d \log e_{AB}}{d\tau} = -\frac{\rho + 3\rho_1^*}{3D_3} < 0, \quad \boxed{\frac{d \log e_{AC}}{d\tau} = \frac{\rho - 3\rho_1^*}{3D_3}}, \quad \frac{d \log e_{BC}}{d\tau} = \frac{2\rho}{3D_3} > 0. \quad (37)$$

Thus A appreciates against B , B depreciates against C , and A depreciates against C if and only if $\rho > 3\rho_1^$.*

The three-country case makes the distinction between the fixed-exchange-rate trade-balance effect and the equilibrium exchange-rate response explicit. The bystander's trade balance improves when $\rho > \rho_1^*$, whereas its bilateral exchange rate reverses only when $\rho > 3\rho_1^*$. By Corollary 4.3,

$$\frac{d\nu_C}{d\tau} \propto F_B + 2F_C \propto \rho - 3\rho_1^*.$$

6 Trade Wars and Preferential Tariffs

The results above also apply when several countries change tariffs simultaneously. Under symmetry, the bilateral exchange-rate effects can be computed for each tariffing country using Theorem 5.1 and then added.

6.1 Trade wars

Bilateral retaliation. Suppose A raises its tariff on B by $d\tau$ and B raises its tariff on A by the same amount. The two effects on the A – B rate cancel, while for any bystander C ,

$$\left. \frac{d \log e_{AB}}{d\tau} \right|^w = 0, \quad \left. \frac{d \log e_{AC}}{d\tau} \right|^w = \frac{\rho - \rho_1^*}{D_N}, \quad \left. \frac{d\nu_A^E}{d\tau} \right|^w = \frac{N-2}{N-1} \frac{\rho - \rho_1^*}{D_N}. \quad (38)$$

Proposition 6.1 (Trade-war threshold). *Under MML, in a symmetric bilateral trade war the belligerents' effective exchange rates depreciate, and every bystander appreciates against both, if and only if*

$$\rho > \rho_1^*.$$

The threshold is independent of N .

Relative to a unilateral tariff, retaliation lowers the bystander threshold from $N\rho_1^*$ to ρ_1^* . The additional tariff imposed by B affects the A – C rate through the relative tariff component but not through B 's average tariff component. Using (29),

$$\left. \frac{d \log e_{AC}}{d\tau} \right|^w = -\frac{\rho_1^*}{D_N} + \frac{\rho}{ND_N} + \frac{(N-1)\rho}{ND_N} = \frac{\rho - \rho_1^*}{D_N}. \quad (39)$$

Hence the factor N in the unilateral-tariff threshold disappears under symmetric retaliation.

Global retaliation. Suppose instead that A raises its tariff by $d\tau$ on every partner and each partner raises its tariff by $d\tau$ on A .

Proposition 6.2 (Global retaliation). *Under MML,*

$$\frac{d \log e_{Aj}}{d\tau} = \frac{d\nu_A^E}{d\tau} = \frac{(N-2)(\rho - \rho_1^*)}{D_N} \quad \forall j,$$

while all exchange rates among A 's partners are unchanged. Hence A depreciates against every partner if and only if $\rho > \rho_1^$.*

The response vanishes at $N = 2$ by symmetry. For $N \geq 3$, the same threshold as in the bilateral trade war applies.

6.2 Competing exporters

A standard benchmark in the preferential-trade-agreement literature has one importing country and two competing exporters, following Viner (1950) and Mundell (1964). Importer A is endowed only with the numeraire good y , while exporters B and C are endowed with good x . Preferences are quasilinear, $U_i = u_i(x_i) + y_i$. Country A levies specific tariffs t_B and t_C . Let q_j denote exporter j 's price and p the domestic price in A . Market clearing requires

$$p = q_B + t_B = q_C + t_C, \quad M_A(p) = E_B(p - t_B) + E_C(p - t_C), \quad M'_A < 0, \quad E'_j > 0, \quad (40)$$

where $M_A(p) = x_A^d(p)$ and $E_j(q_j) = \omega_j - x_j^d(q_j)$. Differentiating with respect to t_B gives

$$\frac{dp}{dt_B} = \frac{E'_B}{E'_B + E'_C - M'_A} \in (0, 1), \quad \frac{dq_B}{dt_B} = -\frac{E'_C - M'_A}{E'_B + E'_C - M'_A} < 0, \quad \frac{dq_C}{dt_B} = \frac{dp}{dt_B} > 0. \quad (41)$$

Proposition 6.3 (Competing-exporter terms-of-trade effect). *A tariff on imports from B worsens B's terms of trade and improves C's terms of trade.*

6.3 Preferential tariffs

The competing-exporter result provides a useful comparison with the three-country case of our model. An improvement in C 's terms of trade corresponds to an increase in e_{AC} by (7). In the competing-exporter model this occurs unconditionally after a tariff on B , whereas in our model Proposition 5.7 requires

$$\rho > 3\rho_1^*.$$

The difference reflects the economic environment. In the competing-exporter model, A does not produce the importable good, so a tariff reallocates demand between the two foreign suppliers without inducing substitution toward a domestically produced import-competing good. In our model, both margins are present: substitution between domestic and imported goods, governed by η , and substitution across foreign import origins, governed by ρ . The terms-of-trade effect on a third country therefore depends on their relative strength.

A preferential tariff reduction gives the corresponding result with the signs reversed. Suppose A lowers its tariff on B alone, so that $t = -\tau \mathbf{e}_B$. For a non-member C , Theorem 5.1 implies that C 's terms of trade worsen if and only if

$$\rho > N\rho_1^*.$$

Thus our model produces the same sign as the standard competing-exporter result only when substitution across foreign origins is sufficiently strong relative to the other general-equilibrium effects.

The two environments are not formally nested. The competing-exporter model has a common importable supplied by B and C and quasilinear preferences, while our model has country-specific differentiated tradables and nested-CES preferences. The comparison is therefore one of mechanisms. The competing-exporter model isolates substitution across foreign suppliers, whereas our framework also includes substitution between domestic and imported goods and the associated income effects.

At $N = 3$, the threshold can be written as

$$\rho_3^* = 3\rho_1^* = 3 + 3\alpha_D(\eta - 1) - 3\alpha_T(1 - \alpha_D). \quad (42)$$

The threshold rises with the domestic-import substitution term and falls with the import share. This helps explain why the third-country terms-of-trade effect is unambiguous in the competing-exporter benchmark but can change sign in the nested-CES model.

Competing-exporter models such as Bagwell and Staiger (1999) and Ornelas (2005) abstract

from trade between the foreign suppliers and use quasilinear preferences, while bloc and endowment models such as Krugman (1991) and Bond and Syropoulos (1996) abstract from domestic production of the importable. Kemp and Wan (1976) consider a more general customs-union environment. The comparison here is not intended to nest these models, but to identify which additional margins determine the sign of third-country terms-of-trade effects in our setting.

7 Conclusion

A tariff affects exchange rates through two steps. At unchanged exchange rates it changes countries' trade balances, summarized by F ; exchange rates then adjust through $(-J)^{-1}$. In the two-country case this reduces to the familiar Marshall–Lerner result: under the elasticity condition, a tariff appreciates the tariffing country's currency.

With three or more countries, a tariff can also redirect expenditure across foreign suppliers. The tariffing country therefore continues to appreciate against the targeted partner, but its exchange rate against an untariffed partner can move in either direction. Under symmetry, the response to any tariff vector separates into an average tariff component and a relative tariff component. The average tariff determines the effective exchange-rate response, while tariff differentials determine deviations of bilateral rates from that common response.

For a unilateral tariff on one partner, the tariffing country's effective exchange rate always appreciates under MML. Its bilateral rate against an untariffed bystander reverses only if

$$\rho > N\rho_1^*.$$

The corresponding trade-balance effect on the bystander changes sign already at $\rho > \rho_1^*$. The difference comes from multilateral exchange-rate adjustment. Under the symmetric nested-CES benchmark, a given relative exchange-rate movement has N times the trade-balance effect of a common movement, so a given relative trade-balance disturbance requires only $1/N$ as much exchange-rate adjustment.

Other tariff configurations alter this comparison. Under symmetric bilateral retaliation, the bystander threshold falls to ρ_1^* and is independent of N . In the standard competing-exporter benchmark, substitution across foreign suppliers generates an unambiguous third-country terms-of-trade effect; in our model, that effect interacts with domestic-import substitution and income effects and therefore need not have an unconditional sign.

The main implication is that the familiar two-country exchange-rate result survives multilateralization most cleanly at the level of the effective exchange rate. Bilateral exchange rates also reflect how trade policy differs across partners, and their responses need not inherit the sign of the aggregate adjustment.

References

Bagwell, Kyle, and Robert W. Staiger (1999). “An Economic Theory of GATT.” *American Economic Review* 89(1), 215–248.

- Bond, Eric W., and Costas Syropoulos (1996). “The Size of Trading Blocs: Market Power and World Welfare Effects.” *Journal of International Economics* 40(3–4), 411–437.
- Kemp, Murray C., and Henry Y. Wan (1976). “An Elementary Proposition Concerning the Formation of Customs Unions.” *Journal of International Economics* 6(1), 95–97.
- Krugman, Paul (1991). “Is Bilateralism Bad?” In Elhanan Helpman and Assaf Razin (eds.), *International Trade and Trade Policy*, 9–23. Cambridge, MA: MIT Press.
- Mundell, Robert A. (1964). “Tariff Preferences and the Terms of Trade.” *The Manchester School of Economic and Social Studies* 32(1), 1–13.
- Ornelas, Emanuel (2005). “Trade Creating Free Trade Areas and the Undermining of Multilateralism.” *European Economic Review* 49(7), 1717–1735.
- Viner, Jacob (1950). *The Customs Union Issue*. New York: Carnegie Endowment for International Peace.

A Exact Cobb–Douglas solution ($N = 2$)

At $\eta = 1$, expenditure shares are fixed at their weights. From (3), $I_A = w_A L_A / [1 - \frac{\tau}{1+\tau} m]$, and $TB_A = 0$ becomes $e m w_B L_B = m I_A / (1 + \tau)$:

$$e(\tau) = \frac{w_A L_A}{w_B L_B} \cdot \frac{1}{1 + (1 - m)\tau}, \quad \left. \frac{d \log e}{d\tau} \right|_{\tau=0} = -(1 - m) = -\left. \frac{\rho_1^*}{D_2} \right|_{\eta=1}. \quad (43)$$

Thus $e(\tau)$ is decreasing in τ , so the sign of the linearized response in (10) is exact for all tariff levels in this case. Here $\eta = 1$ fixes the elasticity, not the weight α_D .

B Real exchange rates

This appendix gives the real exchange-rate counterparts of the results in Sections 5.2–5.3.

From (5) and (1),

$$d \log q_{Aj} = \nu_j + \alpha_T (d \log P_{T_j}^{\text{own}} - d \log P_{T_A}^{\text{own}}).$$

For a tariff vector t , symmetry implies

$$d \log P_{M_A} = d\nu_A^E + \bar{t}, \quad d \log P_{M_j} = d\nu_A^E - \frac{N}{N-1} \nu_j$$

for a partner that imposes no tariff. Hence

$$\begin{aligned} d \log q_{Aj} &= \left(1 - \frac{mN}{N-1}\right) \nu_j - m \bar{t}, \\ dq_A^E &= \left[\left(1 - \frac{mN}{N-1}\right) \lambda_S - m\right] \bar{t}, \\ d \log q_{Aj} - dq_A^E &= \left(1 - \frac{mN}{N-1}\right) \lambda_D \tilde{t}_j. \end{aligned} \quad (44)$$

Thus the average tariff component determines the real effective exchange-rate response, while the

relative tariff component determines bilateral deviations around it, subject to the price-index adjustment in (44).

For a unilateral tariff, $\bar{t} = d\tau/(N-1)$ and

$$d \log q_{Aj} = \left(1 - \frac{mN}{N-1}\right) \nu_j - \frac{m}{N-1} d\tau, \quad j = B, C. \quad (45)$$

Setting $d \log q_{AC} = 0$ and using (31), for $m < 1/N$,

$$\rho_q^*(N) = \frac{[(N-1) - mN] N \rho_1^* + mN [N \alpha_D (\eta - 1) + 1]}{(N-1)(1 - mN)} > N \rho_1^*. \quad (46)$$

Averaging (45) gives

$$\frac{dq_A^E}{d\tau} = -\left(1 - \frac{mN}{N-1}\right) \frac{\rho_1^*}{D_N} - \frac{m}{N-1} < 0 \quad \text{for all } \rho, N \text{ } (m < \frac{N-1}{N}). \quad (47)$$

Proposition B.1 (Real exchange rates). *Under MML, (i) the real bilateral reversal threshold exceeds the nominal threshold, $\rho_q^*(N) > N \rho_1^*$, and (ii) the REER appreciates for every ρ and N , $dq_A^E/d\tau < 0$.*

Both results reflect the direct price-index effect of the tariff. At a given nominal exchange rate, the tariff raises A 's consumer prices, making a real bilateral depreciation harder to obtain and reinforcing the effective appreciation.

C Asymmetry

The disturbance-adjustment representation (12) and MML (13) do not require symmetry. The closed-form thresholds, the NEER cancellation, and the average and relative tariff decomposition in Sections 5–6 do. This appendix examines which results survive when partner symmetry is relaxed.

A simple degree argument shows why the single-threshold results need not extend to arbitrary trade networks. The elasticity ρ enters the share responses (22) only through $(1 - \rho)$, so every entry of J and F is linear in ρ . Each entry of $\text{adj}(-J)$ is a determinant of an $(N-2) \times (N-2)$ submatrix of $-J$ and is therefore a polynomial of degree at most $N-2$ in ρ . It follows that each numerator $[\text{adj}(-J)F]_i$ in (12) is a polynomial of degree at most $N-1$. Since $\det(-J) > 0$ under MML, a bilateral response can change sign only at a root of this numerator polynomial. Symmetry reduces the problem to the two invariant components of Section 4.3, yielding the linear thresholds in Proposition 5.7 and Corollary 5.2. At a general asymmetric baseline, the $N = 3$ numerator is already quadratic in ρ , as shown below, and for $N \geq 4$ a response may change sign more than once as ρ varies.

General asymmetric baseline. At any balanced baseline, (19)–(24) continue to hold with trade shares (b_{ij}, h_i) and incomes y_i as coefficients. For $N = 3$, the bystander slope has denominator

$\det(-J) > 0$ and a numerator that is quadratic in ρ :

$$\text{sign} \frac{d \log e_{AC}}{d\tau} = \text{sign} (c_2 \rho^2 + c_1 \rho + c_0), \quad c_2 = b_{AB} b_{AC} b_{CA} b_{CB} (1 - h_A)(1 - h_C) y_{AYC}. \quad (48)$$

The coefficients c_1 and c_0 depend on the full pattern of trade shares and country sizes. The large- ρ sign is economically relevant only if MML continues to hold over the corresponding parameter range, ensuring $\det(-J) > 0$. Under this condition, $c_2 > 0$ whenever A and C each import from both foreign origins. Hence sufficiently strong substitution across import origins eventually reverses e_{AC} at any such baseline. The relevant threshold is the largest positive root and equals $3\rho_1^*$ at the symmetric point. Away from symmetry, however, there is no universal bilateral threshold.

Structured asymmetry. To examine departures from symmetry while preserving tractability, let the target receive a multiple κ of its symmetric bilateral import share. This parameterization remains comparable across N because the symmetric share falls as $1/(N-1)$. Assume the weight matrix is symmetric and balanced:

$$b_{AB} = b_{BA} = \frac{\kappa}{N-1}, \quad b_{AC} = b_{CA} = b_{BC} = b_{CB} = \frac{1 - \frac{\kappa}{N-1}}{N-2}, \quad b_{CC'} = \frac{1 - 2b_{CA}}{N-3}. \quad (49)$$

The bystanders remain interchangeable, so the reduced system again has two unknowns and can be solved in closed form. With NEER weights $w_{Aj} = b_{Aj}$, the response is a rational function of (ρ, N, κ) that reduces to $-\rho_1^*/D_N$ at $\kappa = 1$.

Proposition C.1 (Asymmetric NEER). *Holding κ fixed as $N \rightarrow \infty$,*

$$N \frac{d\nu_A^E}{d\tau} \longrightarrow -\kappa \frac{\rho_1^*}{\rho + \alpha_D(\eta - 1)} = -\kappa \lim_{N \rightarrow \infty} \frac{N\rho_1^*}{D_N}. \quad (50)$$

To leading order, asymmetric exposure scales the symmetric NEER response by the relative importance of the target without changing its sign. At finite N , the exact numerator can be written as $-\kappa\rho_1^*$ times a quadratic $Q(\rho)$. If $\kappa \geq 1$, all coefficients of Q are positive for sufficiently large N , so the effective rate appreciates for every ρ . If $\kappa < 1$, Q has a positive root satisfying

$$\rho_E^*(\kappa, N) = \frac{N\rho_1^*}{1 - \kappa} (1 + O(N^{-1})),$$

above which the NEER depreciates. When the target receives less than its symmetric trade weight, depreciations against the bystanders can therefore outweigh the appreciation against the target. As $\kappa \rightarrow 0$, $\rho_E^* \rightarrow N\rho_1^*$, so the reversal threshold remains of order N .

Under asymmetry, G and $-J$ generally no longer share the constant and zero-sum eigenspaces of Lemma 4.4. Relative tariff changes can therefore affect the effective exchange rate. The NEER result is exact under symmetry and approximately robust in the structured asymmetric family above; no corresponding claim is made for arbitrary asymmetric trade networks.

D Correspondence across N

object	$N = 2$	$N = 3$	general N
adjustment condition	$\varepsilon_X + \varepsilon_M - 1 = D_2 > 0$	$D_3 > 0$	MML: $-J$ a nonsingular M-matrix
sufficient primitive condition	$\eta \geq 1$	$\eta \geq 1$	gross substitutability (Assumption 1)
sign rule	scalar response	weights $\frac{1}{3} \begin{pmatrix} 2 & 1 \\ 1 & 2 \end{pmatrix}$	$\text{sign}(\sum_j \vartheta_{ij} F_j), \vartheta \geq 0$
adjustment eigenvalues j_S, j_D (28)	$mD_2, —$	$mD_3/4, 3mD_3/4$	$mD_N/(N-1)^2, NmD_N/(N-1)^2$
tariff-effect eigenvalues g_S, g_D (27)	$-m\rho_1^*, —$	$-m\rho_1^*/2, -m\rho/2$	$-m\rho_1^*/(N-1), -m\rho/(N-1)$
bilateral reversal threshold	none	$3\rho_1^*$	$N\rho_1^*$ under symmetry; polynomial roots in general
real bilateral threshold	none	$\rho_q^*(3)$	$\rho_q^*(N)$ (46)
NEER, unilateral tariff	$-\rho_1^*/D_2$	$-\rho_1^*/D_3$	$-\rho_1^*/D_N$ under symmetry
response coefficients λ_S, λ_D (29)	$-\rho_1^*/D_2, —$	$-2\rho_1^*/D_3, -2\rho/(3D_3)$	$-(N-1)\rho_1^*/D_N, -(N-1)\rho/(ND_N)$
trade-war threshold	—	ρ_1^*	ρ_1^* , independent of N

E Proofs

Throughout, $m \equiv \alpha_T(1 - \alpha_D)$, $P \equiv \rho + \alpha_D(\eta - 1)$, and all derivatives are evaluated at the balanced free-trade baseline of Section 5.1.

Proof of Proposition 3.1. The linearization in Section 3 gives (9), with $D_2 = 1 + 2\alpha_D(\eta - 1)$ and $\rho_1^* = 1 - m + \alpha_D(\eta - 1)$, and (10) follows. For the elasticity form, hold income fixed and let $M(p)$ denote import volume at consumer price $p = p_{AB}$. Since import value is $s_{AB}I_A$,

$$\varepsilon_M \equiv -\frac{\partial \log M}{\partial \log p} = 1 - \frac{\partial \log s_{AB}}{\partial \log p} = 1 - (1 - \eta)\alpha_D = 1 + \alpha_D(\eta - 1).$$

By symmetry, $\varepsilon_X = 1 + \alpha_D(\eta - 1)$. Differentiating $TB_A(e, \tau) = X(1/e) - eM((1 + \tau)e)$ at $\tau = 0$ and using balanced trade, $X = eM$, gives

$$\frac{\partial TB_A}{\partial e} = M(\varepsilon_X + \varepsilon_M - 1).$$

Hence $\varepsilon_X + \varepsilon_M - 1 = 2\alpha_D(\eta - 1) + 1 = D_2$, so the stability condition $D_2 > 0$ is exactly $\varepsilon_X + \varepsilon_M > 1$.

Since $F = m\rho_1^* > 0$ by (8), the slope $-\rho_1^*/D_2$ is negative. $\square$

Proof of Proposition 4.2. Scaling every currency value e_{Al} by a common factor leaves all relative prices in (19) unchanged and scales every common-currency income, and hence every flow f_{ij} and trade balance TB_i , by the same factor. Thus TB_i is homogeneous of degree one in the currency values. By Euler's theorem, $\sum_l \tilde{J}_{il} = TB_i$, which is zero at the balanced baseline, so $\sum_l \tilde{J}_{il} = 0$ for all i . Equivalently, in (24), a common shift in all ν_l affects only the income terms, whose export and import contributions cancel by baseline balance. Summing (4) over i gives $\sum_i TB_i \equiv 0$, so $\sum_i \tilde{J}_{il} = 0$ for all l . Under Assumption 1, $\tilde{J}_{il} \geq 0$ for $l \neq i$, so $\tilde{J}_{ii} = -\sum_{l \neq i} \tilde{J}_{il} \leq 0$. Deleting row and column A then gives (15), with strict inequality in every row for which $\tilde{J}_{iA} > 0$.

Thus $-J$ is a Z-matrix with nonpositive off-diagonal entries, nonnegative diagonal entries, weak diagonal dominance, irreducibility, and strict diagonal dominance in at least one row. Its diagonal is strictly positive, since $|J_{ii}| = 0$ would force row i of J to vanish, contradicting irreducibility. Write $-J = D - B$, where $D = \text{diag}(-J) > 0$ and $B \geq 0$. Diagonal dominance implies that every row sum of $D^{-1}B$ is at most one and that at least one is strictly below one. With irreducibility, its spectral radius therefore satisfies $r \equiv \rho(D^{-1}B) < 1$. Hence

$$(-J)^{-1} = (I - D^{-1}B)^{-1}D^{-1} = \sum_{k \geq 0} (D^{-1}B)^k D^{-1} \geq 0.$$

Nonsingularity follows from $r < 1$. Moreover,

$$\det(-J) = \det D \cdot \det(I - D^{-1}B) > 0.$$

Finally, the Gershgorin discs of $-J$ are centered at $|J_{ii}| > 0$ with radii no larger than $|J_{ii}|$. They therefore lie in the closed right half-plane and can intersect the imaginary axis only at the origin, which nonsingularity excludes. Hence $\text{Re } \lambda(-J) > 0$, or equivalently $\text{Re } \lambda(J) < 0$. $\square$

Proof of Corollary 4.3. The result follows directly from (12):

$$\frac{d\nu}{d\tau} = (-J)^{-1}F,$$

with $(-J)^{-1} = (\vartheta_{ij}) \geq 0$ elementwise under MML. $\square$

Proof of Lemma 4.4. Let M be an $(N-1) \times (N-1)$ matrix with $PMP' = M$ for every permutation matrix P . Conjugating by the transposition of i and j gives $M_{ii} = M_{jj}$, and conjugating by a permutation that sends the ordered pair (i, j) to (k, l) , $i \neq j$, $k \neq l$, gives $M_{ij} = M_{kl}$. Hence

$$M = aI + b\mathbf{1}\mathbf{1}'.$$

Since $\mathbf{1}'\mathbf{1} = N - 1$,

$$M\mathbf{1} = [a + (N - 1)b]\mathbf{1},$$

while $Mv = av$ for every v satisfying $\mathbf{1}'v = 0$. This gives (17) for $-J$ and G .

For $j_S, j_D \neq 0$,

$$(-J)^{-1} = \frac{1}{j_D}I + \frac{1}{N-1}\left(\frac{1}{j_S} - \frac{1}{j_D}\right)\mathbf{1}\mathbf{1}',$$

as direct multiplication verifies. Thus $(-J)^{-1}$ and G share the constant and zero-sum eigenspaces, with response coefficients g_S/j_S and g_D/j_D . Writing

$$t = \bar{t}\mathbf{1} + \tilde{t}, \quad \mathbf{1}'\tilde{t} = 0,$$

gives

$$\nu = \frac{g_S}{j_S}\bar{t}\mathbf{1} + \frac{g_D}{j_D}\tilde{t},$$

and averaging with equal weights yields

$$d\nu_A^E = \frac{g_S}{j_S}\bar{t}.$$

For (18), the off-diagonal entry of $-J$ is

$$b_J = \frac{j_S - j_D}{N-1},$$

so $-J$ has the Z-matrix sign pattern if and only if $j_D \geq j_S$. Given $j_D \geq j_S > 0$, the entries of $(-J)^{-1}$ above are nonnegative, so MML holds. Conversely, if $j_S \leq 0$, either $-J$ is singular or its inverse cannot be elementwise nonnegative. At $N = 2$ the zero-sum subspace is trivial and the condition reduces to $j_S > 0$. $\square$

Lemma E.1 (Full Jacobian at the symmetric baseline). *At the symmetric balanced baseline of Section 5.1, where $b_{ij} = 1/(N-1)$ and $f_{ij} = m/(N-1)$, the full $N \times N$ Jacobian of the nested-CES model is*

$$\tilde{J}_{il} = \frac{m}{(N-1)^2}D_N \quad (l \neq i), \quad \tilde{J}_{ii} = -\frac{m}{N-1}D_N, \quad D_N = N\alpha_D(\eta-1) + (N-2)\rho + 1.$$

Proof. Set $dt_{jk} = 0$, so $dp_{ij} = \nu_j - \nu_i$ and $d \log \tilde{I}_i = \nu_i$. Writing $S \equiv \sum_j \nu_j$, (20) gives

$$d \log P_{M_k} = \frac{S - N\nu_k}{N-1}, \quad \frac{\partial d \log P_{M_k}}{\partial \nu_l} = \frac{1 - N\delta_{kl}}{N-1}.$$

On the import side,

$$\sum_{j \neq i} (dp_{ij} - d \log P_{M_i}) = 0,$$

so the $(1 - \rho)$ terms cancel when (22) is summed over $j \neq i$. Thus,

$$\sum_{j \neq i} d \log s_{ij} = (N-1)(1-\eta)\alpha_D d \log P_{M_i}.$$

Substituting into (24) gives

$$dTB_i = \frac{m}{N-1} \left[\sum_{k \neq i} (d \log s_{ki} + \nu_k) - (N-1)(1-\eta)\alpha_D d \log P_{M_i} - (N-1)\nu_i \right].$$

Fix $l \neq i$ and differentiate term by term:

$$\frac{\partial}{\partial \nu_l} \sum_{k \neq i} d \log s_{ki} = -(1-\rho) \frac{N-2}{N-1} - \frac{(1-\eta)\alpha_D}{N-1}.$$

The export income terms contribute one, the import-side price-index term contributes $-(1-\eta)\alpha_D$, and the import income term contributes zero. Collecting terms gives

$$\tilde{J}_{il} = \frac{m}{(N-1)^2} \left[(N-1) - (1-\rho)(N-2) + N\alpha_D(\eta-1) \right] = \frac{m}{(N-1)^2} D_N.$$

The diagonal follows from (14):

$$\tilde{J}_{ii} = -(N-1)\tilde{J}_{il} = -\frac{m}{N-1} D_N.$$

At $N = 2$ this gives $\tilde{J}_{AB} = mD_2$, the coefficient in (9); deleting row and column A at $N = 3$ reproduces J in (36). $\square$

Proof of Proposition 5.7. At $N = 3$, (19)–(20) give

$$d \log P_{M_A} = \frac{1}{2}(\nu_B + \nu_C + d\tau), \quad d \log P_{M_B} = \frac{1}{2}\nu_C - \nu_B, \quad d \log P_{M_C} = \frac{1}{2}\nu_B - \nu_C.$$

Also,

$$d \log \tilde{I}_A = \frac{m}{2} d\tau, \quad d \log \tilde{I}_B = \nu_B, \quad d \log \tilde{I}_C = \nu_C.$$

The deviations of bilateral prices from the corresponding import indices are

$$\begin{aligned} dp_{AB} - d \log P_{M_A} &= \frac{1}{2}(\nu_B - \nu_C + d\tau), & dp_{AC} - d \log P_{M_A} &= \frac{1}{2}(\nu_C - \nu_B - d\tau), \\ dp_{BA} - d \log P_{M_B} &= -\frac{1}{2}\nu_C, & dp_{BC} - d \log P_{M_B} &= \frac{1}{2}\nu_C, \\ dp_{CA} - d \log P_{M_C} &= -\frac{1}{2}\nu_B, & dp_{CB} - d \log P_{M_C} &= \frac{1}{2}\nu_B. \end{aligned}$$

The share changes then follow from (22). With flow values $m/2$, (24) gives

$$\begin{aligned} \frac{2}{m} dTB_B &= (d \log s_{AB} + \frac{m}{2} d\tau - d\tau) + (d \log s_{CB} + \nu_C) - (d \log s_{BA} + \nu_B) - (d \log s_{BC} + \nu_B), \\ \frac{2}{m} dTB_C &= (d \log s_{AC} + \frac{m}{2} d\tau) + (d \log s_{BC} + \nu_B) - (d \log s_{CA} + \nu_C) - (d \log s_{CB} + \nu_C). \end{aligned}$$

For example, the coefficient on ν_B in $\frac{2}{m} dTB_B$ is

$$\frac{1}{2}[(1-\rho) + (1-\eta)\alpha_D] + \frac{1}{2}[(1-\rho) + (1-\eta)\alpha_D] + 2(1-\eta)\alpha_D - 2 = -D_3.$$

Collecting the remaining coefficients gives (36), and inverting gives (37). With $D_3 > 0$, the numer-

ator for e_{AB} is negative and the numerator for e_{BC} is positive. The bystander response satisfies

$$\text{sign} \frac{d \log e_{AC}}{d\tau} = \text{sign}(\rho - 3\rho_1^*).$$

□

Proof of Corollary 5.4. With $\rho = \eta = \sigma$,

$$\rho_N^* = N[1 + \alpha_D(\sigma - 1) - \alpha_T(1 - \alpha_D)],$$

so

$$\rho_N^* - \sigma = \sigma(N\alpha_D - 1) + N(1 - \alpha_D)(1 - \alpha_T).$$

For $\alpha_D \geq 1/N$ both terms are nonnegative, with both zero only at $\alpha_D = 1/N$, $\alpha_T = 1$; reversal requires $\sigma > \rho_N^*$ and therefore fails. Since ρ_1^* does not involve ρ ,

$$N\rho_1^* - \eta = \eta(N\alpha_D - 1) + N(1 - \alpha_D)(1 - \alpha_T).$$

At $\alpha_D = 1/N$,

$$\rho_N^* - \sigma = (N - 1)(1 - \alpha_T), \quad D_N = (N - 1)\sigma,$$

so by (31),

$$\frac{d \log e_{AC}}{d\tau} = -\frac{1 - \alpha_T}{N\sigma}.$$

□

Direct derivation of (31). The unilateral slopes can also be obtained by inverting a reduced two-equation system. Since the equilibrium is unique under MML and the system is invariant to permutations of the $N - 2$ bystanders, all bystanders have the same response ν_C . The equilibrium therefore reduces to the conditions for B and one representative bystander.

Equations (19)–(20) give

$$d \log P_{M_A} = \frac{\nu_B + d\tau + (N - 2)\nu_C}{N - 1}, \quad d \log P_{M_B} = \frac{(N - 2)\nu_C}{N - 1} - \nu_B, \quad d \log P_{M_C} = \frac{\nu_B - 2\nu_C}{N - 1}. \quad (51)$$

Also,

$$d \log \tilde{I}_A = \frac{m}{N - 1} d\tau, \quad d \log \tilde{I}_B = \nu_B, \quad d \log \tilde{I}_C = \nu_C.$$

The deviations of bilateral prices from the corresponding import indices are

$$\begin{aligned} dp_{AB} - d \log P_{M_A} &= \frac{N-2}{N-1}(\nu_B + d\tau - \nu_C), & dp_{AC} - d \log P_{M_A} &= \frac{1}{N-1}(\nu_C - \nu_B - d\tau), \\ dp_{BA} - d \log P_{M_B} &= -\frac{N-2}{N-1}\nu_C, & dp_{BC} - d \log P_{M_B} &= \frac{1}{N-1}\nu_C, \\ dp_{CA} - d \log P_{M_C} &= -\frac{1}{N-1}[(N-3)\nu_C + \nu_B], & dp_{CC'} - d \log P_{M_C} &= \frac{1}{N-1}(2\nu_C - \nu_B), \\ dp_{CB} - d \log P_{M_C} &= \frac{1}{N-1}[(N-2)\nu_B - (N-3)\nu_C]. \end{aligned}$$

Using (22) and flow values $m/(N-1)$, collecting the two trade-balance conditions gives

$$D_N \begin{pmatrix} -(N-1) & N-2 \\ 1 & -2 \end{pmatrix} \begin{pmatrix} \nu_B \\ \nu_C \end{pmatrix} = \begin{pmatrix} (N-2)\rho + \rho_1^* \\ \rho_1^* - \rho \end{pmatrix} d\tau, \quad D_N = N\alpha_D(\eta-1) + (N-2)\rho + 1. \quad (52)$$

The matrix has determinant N , so inversion gives (31). At $N=3$ this reduces to (37), and at $N=2$ to (10).

Proof of Corollary 5.2(ii). By Lemma 4.4 and (29),

$$\nu = \lambda_S \bar{t} \mathbf{1} + \lambda_D \tilde{t}.$$

For $t = d\tau \mathbf{e}_B$,

$$\bar{t} = \frac{d\tau}{N-1}, \quad \tilde{t}_C = -\frac{d\tau}{N-1},$$

so

$$\nu_C = \frac{\lambda_S - \lambda_D}{N-1} d\tau = \frac{\rho - N\rho_1^*}{ND_N} d\tau.$$

Under MML, $D_N > 0$, so

$$\text{sign} \frac{d \log e_{AC}}{d\tau} = \text{sign}(\rho - N\rho_1^*).$$

The same substitution with

$$\tilde{t}_B = \frac{N-2}{N-1} d\tau$$

gives the remaining expressions in (31). □

Proof of Corollary 5.3. By Lemma 4.4,

$$d\nu_A^E = \lambda_S \bar{t}$$

with symmetric weights $w_{Aj} = 1/(N-1)$. For $t = d\tau \mathbf{e}_B$,

$$\bar{t} = \frac{d\tau}{N-1},$$

so

$$\frac{d\nu_A^E}{d\tau} = \frac{\lambda_S}{N-1} = -\frac{\rho_1^*}{D_N}.$$

By (8), $\rho_1^* > 0$, while $D_N > 0$ under MML. The response is therefore negative for every $N \geq 2$ and every admissible ρ . □

Proof of Theorem 5.1. Under partner symmetry, the response matrix $R = (-J)^{-1}G$ has the same constant and zero-sum eigenspaces as J and G . By (27)–(29), its eigenvalues on these two subspaces are λ_S and λ_D . Therefore, for

$$t = \bar{t} \mathbf{1} + \tilde{t}, \quad \mathbf{1}' \tilde{t} = 0,$$

we have

$$\nu = Rt = \lambda_S \bar{t} \mathbf{1} + \lambda_D \tilde{t}.$$

Averaging with weights $1/(N-1)$ gives

$$d\nu_A^E = \lambda_S \bar{t},$$

and subtracting gives

$$\nu_j - d\nu_A^E = \lambda_D \tilde{t}_j.$$

Finally,

$$d \log e_{jk} = \nu_k - \nu_j = \lambda_D(\tilde{t}_k - \tilde{t}_j) = \lambda_D(t_k - t_j).$$

Under MML, $D_N > 0$, so $\lambda_S, \lambda_D < 0$. □

Proof of Corollary 5.5. From (30),

$$\nu_j - \nu_k = \lambda_D(t_j - t_k),$$

and $\lambda_D < 0$, proving the ordering result. Moreover,

$$\nu_j > 0$$

if and only if

$$\lambda_S \bar{t} + \lambda_D(t_j - \bar{t}) > 0.$$

Substituting (29) and dividing by $(N-1)/D_N > 0$ gives

$$-\rho_1^* \bar{t} - \frac{\rho}{N}(t_j - \bar{t}) > 0,$$

or

$$\frac{\rho}{N}(\bar{t} - t_j) > \rho_1^* \bar{t}.$$

For $\bar{t} > 0$, this is equivalent to

$$\frac{t_j}{\bar{t}} < 1 - \frac{N\rho_1^*}{\rho}.$$

The right-hand side is positive only if $\rho > N\rho_1^*$. □

Proof of Corollary 5.6. With $t_j = \tau$ on the k targets and zero otherwise,

$$\bar{t} = \frac{k\tau}{N-1}, \quad \tilde{t}_B = \frac{N-1-k}{N-1}\tau$$

for a target, and

$$\tilde{t}_C = -\frac{k\tau}{N-1}$$

for a bystander. Substituting into (30) gives

$$\nu_C = \frac{k\tau}{N-1}(\lambda_S - \lambda_D) = \frac{k\tau}{ND_N}(\rho - N\rho_1^*),$$

together with the target and NEER responses in (34). For every $k \leq N - 2$, the sign of the bystander response is therefore determined by $\rho - N\rho_1^*$. At $k = N - 1$ there is no bystander and $\tilde{t} = 0$, giving (35). $\square$

Proof of Proposition 6.1. Let primes denote responses to the mirror shock $t_{BA} = d\tau$. Relabeling $A \leftrightarrow B$ in (31) gives

$$d \log e'_{BA} = -\frac{N\rho_1^* + (N-2)\rho}{ND_N}, \quad d \log e'_{BC} = \frac{\rho - N\rho_1^*}{ND_N}.$$

Since $e_{AB} = 1/e_{BA}$ and $e_{AC} = e_{AB}e_{BC}$,

$$d \log e'_{AB} = \frac{N\rho_1^* + (N-2)\rho}{ND_N}, \quad d \log e'_{AC} = \frac{(N-1)\rho}{ND_N}.$$

By linearity,

$$d \log e_{AB}|^w = 0,$$

and

$$d \log e_{AC}|^w = \frac{\rho - N\rho_1^*}{ND_N} + \frac{(N-1)\rho}{ND_N} = \frac{\rho - \rho_1^*}{D_N}.$$

By symmetry between A and B , the same expression applies to $d \log e_{BC}|^w$. Averaging gives

$$\left. \frac{d\nu_A^E}{d\tau} \right|^w = \frac{N-2}{N-1} \frac{\rho - \rho_1^*}{D_N}.$$

Under MML, $D_N > 0$, so the signs are determined by $\rho - \rho_1^*$. $\square$

Proof of Proposition 6.2. Superpose the N tariff vectors. A 's tariff vector is uniform,

$$\tilde{t}^{(A)} = d\tau, \quad \tilde{t}^{(A)} = 0,$$

and contributes $\lambda_S d\tau$ to every $d \log e_{Aj}$.

Partner j taxes only A . Its contribution to $d \log e_{Aj}$ is

$$-[\lambda_S + (N-2)\lambda_D] \frac{d\tau}{N-1},$$

while each of the $N - 2$ other partners contributes $-\lambda_D d\tau$. Summing,

$$\begin{aligned} d \log e_{Aj} &= \lambda_S d\tau - [\lambda_S + (N-2)\lambda_D] \frac{d\tau}{N-1} - (N-2)\lambda_D d\tau \\ &= \frac{(N-2)(\rho - \rho_1^*)}{D_N} d\tau. \end{aligned}$$

The expression is the same for every j , so it also equals the NEER response, and all cross rates among A 's partners are unchanged. $\square$

Proof of Proposition B.1. From (5) and (1), only tradable prices move, so

$$d \log q_{Aj} = \nu_j + \alpha_T (d \log P_{T_j}^{\text{own}} - d \log P_{T_A}^{\text{own}}),$$

with

$$d \log P_{T_i}^{\text{own}} = (1 - \alpha_D) d \log P_{M_i}.$$

Using (51),

$$d \log q_{AB} = \left(1 - \frac{mN}{N-1}\right) \nu_B - \frac{m}{N-1} d\tau.$$

The same calculation for $j = C$ gives (45).

For a general tariff vector,

$$d \log P_{M_A} = \frac{1}{N-1} \sum_j (\nu_j + t_j) = d\nu_A^E + \bar{t},$$

while for a partner that imposes no tariff,

$$d \log P_{M_j} = d\nu_A^E - \frac{N}{N-1} \nu_j.$$

Substitution gives (44). Setting $d \log q_{AC} = 0$ and substituting ν_C from (31) gives

$$[(N-1) - mN] \frac{\rho - N\rho_1^*}{N} = mD_N(\rho).$$

Solving for ρ gives (46). If $m < 1/N$, the coefficient on the left is positive, implying $\rho_q^*(N) > N\rho_1^*$. Averaging (45) and using (32) gives (47), whose two terms are negative under the stated conditions. $\square$

Proof of Proposition 6.3. The result follows directly from (41). Total differentiation of market clearing gives $dp/dt_B \in (0, 1)$, and $M'_A < 0$ and $E'_j > 0$ then imply the stated signs of dq_B/dt_B and dq_C/dt_B . $\square$

Proof of Proposition C.1. Under the weights in (49), the bystanders remain interchangeable, so the system reduces to two unknowns (ν_B, ν_C) . The corresponding flow values are $m\beta$, $m\gamma$, and $m\xi$, where

$$\beta = \frac{\kappa}{N-1}, \quad \gamma = \frac{1-\beta}{N-2}, \quad \xi = \frac{1-2\gamma}{N-3}.$$

Write

$$\nu_B = \frac{b}{N}, \quad \nu_C = \frac{c}{N},$$

holding $d\tau$ fixed, and expand the two equilibrium conditions in $1/N$ at fixed (κ, ρ) . To leading order,

$$\beta \rightarrow \frac{\kappa}{N}, \quad (N-2)\gamma \rightarrow 1,$$

and

$$d \log P_{M_A} = \frac{\kappa d\tau + c}{N} + O(N^{-2}), \quad d \log P_{M_B} = \frac{c - b}{N} + O(N^{-2}), \quad d \log P_{M_C} = O(N^{-2}).$$

Substituting into (22) and the trade-flow sums gives the limiting system

$$P(b - c) = -\kappa \rho d\tau, \quad P(2c - b) = \kappa(\rho - \rho_1^*) d\tau, \quad P \equiv \rho + \alpha_D(\eta - 1).$$

The limiting matrix

$$P \begin{pmatrix} 1 & -1 \\ -1 & 2 \end{pmatrix}$$

has determinant $P^2 > 0$. Adding the two equations gives

$$c = -\frac{\kappa \rho_1^*}{P} d\tau.$$

Since the NEER weights satisfy $w_{AB} = \beta = O(N^{-1})$ and $(N - 2)w_{AC} \rightarrow 1$,

$$N \frac{d\nu_A^E}{d\tau} \longrightarrow -\frac{\kappa \rho_1^*}{\rho + \alpha_D(\eta - 1)}.$$

Finally,

$$\frac{D_N}{N} \longrightarrow \rho + \alpha_D(\eta - 1),$$

which gives (50). □